



MEMORANDUM

TPA - No. 2014-0133

THE PHILIPPINE STOCK EXCHANGE, INC.

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| ☒ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☐ Others: |

TO : INVESTING PUBLIC

DATE : NOVEMBER 3 , 2014

SUBJECT : FOR PUBLIC COMMENTS: REVISIONS IN THE PSE TRADING RULES

As part of the Philippine Stock Exchange's (PSE) regular review of the Revised Trading Rules and the implementation of the new trading platform, PSEtrade XTS, PSE identified provisions that would necessitate an amendment. The proposed amendments will be implemented together with the launch date of PSEtrade XTS. The Project Steering Committee approved the following provisions in the Revised Trading Rules that require revisions:

Article IV	Section 9	Types of Orders, Execution Conditions and Trading Functions
	Section 20	Error Transactions
Article VII	Section 1	Freezing of Security in Relation to Price Movements
	Section 2	Reservation of Security in relation to Price Movements
	Section 4	Trading Suspension
Article VIII	Section 1	Circuit Breaker

In this regard, we would like to invite all concerned parties to send their comments to the attached (Annex "A") PSE Revised Trading Rules and the proposed revisions.

We would appreciate receiving your comments **not later than 5:00 pm of November 14, 2014 (Friday)**. Please send comments to Ms. Sandra Runas (airunas@pse.com.ph) or call 819-4432 for any questions/inquiries.

For your information.

(Original signed)
ROEL REFRAN
COO
Project Champion

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ARTICLE / SECTION IN THE TRADING RULES	CURRENT	PROPOSED
ARTICLE IV. GENERAL TRADING OPERATIONS SECTION 9. Types of Orders, Execution Conditions and Trading Functions	The following are the types of Order that may be accepted by the Trading System: a. A Limit Order is: i. an Order entered from Pre-Open to Trading-at-Last Period, with a specified limit price within the Security's Static Threshold; ii. an Order that can be executed either at the entered limit price or better. Any remaining unexecuted portion of a Limit Order will be added and queued in the Order book. b. A Market Order is: i. an Order entered without a specified price and can be executed either at the BBO or the LTP, whichever is better; ii. an Order that can be entered from Pre-Open to Market Open/Continuous Trading Period. Any remaining unexecuted portion of a Market Order will be added and queued in the Order book for immediate execution.	The following are the types of Order that may be accepted by the Trading System: a. A Limit Order is: i. an Order entered from Pre-Open to Trading-at-Last Period, with a specified limit price within the Security's Static Threshold; ii. an Order that can be executed either at the entered limit price or better. Any remaining unexecuted portion of a Limit Order will be added and queued in the Order book. b. A Market Order is: i. an Order entered without a specified price and can be executed either at the BBO or the LTP, whichever is better; ii. an Order that can be entered from Pre-Open to Market Open/Continuous Trading Period. Any remaining unexecuted portion of a Market Order will be added and queued in Order book <u><i>for immediate execution as limit order at the last executed price unless set as Immediate or Fill-and-Kill (FAK) in which case, unexecuted portion will be</i></u>

	c. A Market-to-Limit Order is an Order entered only during Market Open/Continuous Trading Phase, for immediate execution at the best possible price between the BBO and the LTP. Any remaining unexecuted portion of a Market-to-Limit Order will be automatically transformed into a Limit Order at the executed price and queued in the Order book. If there is no counterpart Order upon Order entry, the Market-to-Limit Order will be eliminated. d. A Stop Order is an Order, which stays inactive and is not released to the market until a trade occurs at the Order's trigger price or better. The trigger price of a Stop Order should always be better than the LTP, which means that for a buy (sell) Stop Order, the trigger price should be higher (lower) than the LTP. i. Stop Limit Order a. A buy (sell) Stop Limit Order specifies two prices. The first price is the trigger price while the second is the limit price, which must be equal to or greater (less) than the trigger price.	<u>withdrawn.</u> <u>If no orders on the opposite side, Market Order is rejected.</u> c. A Market-to-Limit Order is an Order entered only during Market Open/Continuous Trading Phase, for immediate execution at the best possible price between the BBO and the LTP. Any remaining unexecuted portion of a Market-to-Limit Order will be automatically transformed into a Limit Order at the executed price and queued in the Order book. If there is no counterpart Order upon Order entry, the Market-to-Limit Order will be eliminated. c. Stop Loss (Triggered)/ Take Profit: An Order, which stays inactive and is not released to the market until a trade occurs at the Order's trigger price or better. The trigger price of a Stop Order should always be better than the LTP, which means that for a buy (sell) Stop Order, the trigger price should be higher (lower) than the LTP. i. Stop Limit Order a. A buy (sell) Stop Limit Order specifies two prices. The first price is the trigger price while the second is the limit price, which must be equal to or greater (less) than the trigger price.
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	b. When a trade occurs at the trigger or better price, the Stop Limit Order is then released to the market as a Limit Order at the specified limit price. ii. Stop Loss Order is an Order that specifies only the trigger price. When the Stop Loss Order is triggered, it is immediately treated as a Market Order. e. A Market-on-Opening/Closing Order is an Order entered during the Pre-Open/Pre-Close Period and is only executable at the indicative Opening/Closing Price. If unmatched or partially matched at the end of Pre-Open/Pre-Close Period, the Order or its remaining unexecuted portion becomes a Limit Order at the indicative Opening/Closing Price. f. A Cross Order refers to buying and selling Orders of the same Trading Participant that are simultaneously executed at the agreed quantity and price within the BBO. The following are the types of Order validity that may be accepted by the Trading System: a. A Day Order remains valid until the end of the Trading Day. b. A Good Till Cancelled (GTC) Order	price. b. When a trade occurs at the trigger or better price, the Stop Limit Order is then released to the market as a Limit Order at the specified limit price. ii. Stop Loss Order is an Order that specifies only the trigger price. When the Stop Loss Order is triggered, it is immediately treated as a Market Order. e. A Market-on-Opening/Closing Order is an Order entered during the Pre-Open/Pre-Close Period and is only executable at the indicative Opening/Closing Price. If unmatched or partially matched at the end of Pre-Open/Pre-Close Period, the Order or its remaining unexecuted portion becomes a Limit Order at the indicative Opening/Closing Price. <u><i>If there is no indicative Opening/Closing Price, the Order will automatically be cancelled.</i></u> f. A Cross Order refers to buying and selling Orders of the same Trading Participant that are simultaneously executed at the agreed quantity and price within the BBO. The following are the types of Order validity that may be accepted by the Trading System: a. A Day Order remains valid until the end of the Trading Day.
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	remains valid until cancelled or until it reaches the set expiration date of the Security. c. A Good Till Date (GTD) Order remains valid until the date specified. d. A Good Till Week (GTW) Order remains valid for seven (7) calendar days from the time it is posted. e. A Sliding Validity Order remains valid for one (1) calendar year. f. A Fill-and-Kill (FAK) Order: i. If entered during the Pre-Open/Pre-Close, shall be executed to the fullest extent possible at the end of Pre-Open/Pre-Close, with any remaining portion being eliminated; or ii. If entered during the Market Open/Continuous Trading or Trading-At-Last/Run-Off, shall be executed immediately upon Order entry, with any remaining portion being eliminated.	b. A Good Till Cancelled (GTC) Order remains valid until cancelled or until it reaches the set expiration date of the Security. c. A Good Till Date (GTD) Order remains valid until the date specified. d. A Good Till Week (GTW) Order remains valid for seven (7) calendar days from the time it is posted. e. A Sliding Validity Order remains valid for one (1) calendar year. d. A Fill-and-Kill (FAK) Order: i. If entered during the Pre-Open/Pre-Close, shall be executed to the fullest extent possible at the end of Pre-Open/Pre-Close, with any remaining portion being eliminated; or ii. If entered during the Market Open/Continuous Trading or Trading-At-Last/Run-Off, shall be executed immediately upon Order entry, with any remaining portion being eliminated.
ARTICLE IV. GENERAL TRADING OPERATIONS SECTION 20. Error Transactions	a. All Trading Participants shall maintain a designated account for error transactions. For Trading Participants with broker-dealer license, their proprietary account may be used as the designated account for error transactions. b. All error transactions shall be properly	a. All Trading Participants shall maintain a designated account for error transactions. For Trading Participants with broker-dealer license, their proprietary account may be used as the designated account for error transactions. b. All error transactions shall be properly

	identified and duly reflected in the Trading Participant's designated account for error transactions no later than two (2) Trading Days from the date of transaction. c. Any position in the error account shall be liquidated no later than one (1) month from the date of the relevant transaction.	identified and duly reflected in the Trading Participant's designated account for error transactions no later than two (2) Trading Days from the date of transaction <u>in accordance with the provision on amendment of account code as specified in this rule and its Implementing Guidelines.</u> c. Any position in the error account shall be liquidated no later than one (1) month from the date of the relevant transaction.
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ARTICLE VII. SECURITY STATES SECTION 1. Freezing of Security in relation to Price Movements	a. Whenever an Order will result in a breach of the Trading Threshold of a Security within a Trading Day, the trading of the Security will be frozen. b. Orders cannot be posted, modified or cancelled for a Security that is frozen. c. In cases where an Order has been partially matched, only the portion of the Order that will result to a breach of the Trading Threshold will be frozen. d. Where the Order results to a breach of the Trading Threshold, the following procedures shall apply: i. In case the Static Threshold is breached, the Exchange will accept the Order, provided the price is within the allowable percentage price difference under the Implementing Guidelines of these Rules; otherwise, such Order will be rejected. In cases where the Order is accepted, the Exchange will adjust the Static Threshold to sixty percent (60%). All Orders breaching the 60% Static Threshold will be rejected by the Exchange. ii. In case the Dynamic Threshold is breached, the Exchange will accept the Order if the price is within the allowable percentage price difference under the existing regulations; otherwise, such Order will be rejected by the Exchange.	a. Whenever an Order will result in a breach of the <u>Trading Dynamic</u> Threshold of a Security within a Trading Day, the trading of the Security will be frozen. b. Orders cannot be posted, modified or cancelled for a Security that is frozen. c. In cases where an Order has been partially matched, only the portion of the Order that will result to a breach of the Trading Threshold will be frozen. d. Where the Order results to a breach of the <u>Trading Dynamic</u> Threshold, the Exchange will <u>either accept or reject the Order after confirmation with the concerned TP on the validity of the order.</u> the following procedures shall apply: i. In case the Static Threshold is breached, the Exchange will accept the Order, provided the price is within the allowable percentage price difference under the Implementing Guidelines of these Rules; otherwise, such Order will be rejected. In cases where the Order is accepted, the Exchange will adjust the Static Threshold to sixty percent (60%). All Orders breaching the 60% Static Threshold will be rejected by the Exchange. ii. In case the Dynamic Threshold is breached, the Exchange will accept the Order if the price is within the allowable percentage price difference under the existing regulations; otherwise, such Order will be rejected by the Exchange.
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ARTICLE VII. SECURITY STATES SECTION 2. Reservation of a Security	a. Reservation of a Security is caused by any of the following: i. When a Market-on-Opening Order is posted but there is no Indicative Opening Price; ii. When there is an unfilled Market Order upon opening of the Security; or iii. When the Indicative Opening Price breaches the Static Threshold; b. A Security shall undergo reservation prior to lifting a trading suspension. c. Orders, other than Cross Orders, may be posted, modified or cancelled notwithstanding the reservation of a Security.	a. Reservation of a Security is caused by any of the following: i. When a Market-on-Opening Order is posted but there is no Indicative Opening Price; ii. When there is an unfilled Market Order upon opening of the Security; or iii. When the Indicative Opening Price breaches the Static Threshold; a. A Security shall undergo reservation prior to lifting a trading suspension. b. Orders, other than Cross Orders, may be posted, modified or cancelled notwithstanding the reservation of a Security.
ARTICLE VII. SECURITY STATES SECTION 4. TRADING SUSPENSION	a. The Exchange or the SEC may suspend the trading of a Security pursuant to these Rules, Implementing Guidelines and applicable laws or regulations in order to maintain a fair and orderly market for the protection of the investing public. b. Orders cannot be posted, modified or cancelled for a Security that is suspended. c. The trading of any warrant, PDR or any Security that directly derives its value from the Security subject of the trading suspension will also be suspended. d. During a trading suspension, a Trading Participant cannot directly or indirectly deal or	a. The Exchange or the SEC may suspend the trading of a Security pursuant to these Rules, Implementing Guidelines and applicable laws or regulations in order to maintain a fair and orderly market for the protection of the investing public. b. Orders cannot be posted, modified or cancelled for a Security that is suspended. c. The trading of any warrant, PDR or any Security that directly derives its value from the Security subject of the trading suspension will also be suspended. d. During a trading suspension, a Trading Participant cannot directly or indirectly deal or

	otherwise engage in any transaction on the Security. e. In case a Security is suspended, all posted Orders for the Security involved may be purged at the end of a Trading Day, as set out in the Implementing Guidelines of these Rules.	otherwise engage in any transaction on the Security. e. In case a Security is suspended, all posted Orders for the Security involved may be purged <u>at the end of a Trading Day shall be purged,</u> as set out in the Implementing Guidelines of these Rules.
ARTICLE VIII. MARKET HALT OR SUSPENSION OF TRADING ACTIVITY SECTION 1. Circuit Breaker	a. Trading in the market will be temporarily halted in case the PSEi decreases by at least 10% compared to the previous closing level of the PSEi. b. Trading in the market will resume within fifteen (15) minutes after a circuit breaker is discharged. c. Market Halt due to the breach of the circuit breaker shall be implemented only once in a Trading Day. A circuit breaker will not be triggered thirty (30) minutes before Market Close.	a. Trading in the market will be temporarily halted in case the PSEi decreases by at least 10% compared to the previous closing level of the PSEi. b. Trading in the market will resume within fifteen (15) minutes after a circuit breaker is discharged. c. Market Halt due to the breach of the circuit breaker shall be implemented only once in a Trading Day. A circuit breaker will not be triggered thirty (30) minutes before Market Close <u>twenty (20) minutes before the Pre-Close Period.</u>